Assignment 23BT014

M/s Kavin's enterprise :

Trading account :

Dr		Cr	
Opening stock	70,000	Sales	3,20,000
Purchases	2,00,000	Less Bad debts	- 3000
Carriage inward	10,000	Net sales	3,17,000
		Closing Stock	90,000
	2,80,000		4,07,000
			2,80,000
			1,27,000

Gross profit = 1,27,000

Profit & Lose Account

Dr		Cr	
Salaries	45,000	Gross Profit	1,27,000
Insurance	10,000		- 79,000
Carriage outward	8,000		48,000
Depreciation	12,000	Capital adjustments	
Interest on Loan	4,000	Opening capital	3,00,000
	79,000	~~Net Profit = 48,000~~ Add net profit	48,000
net profit	48,00		3,48,000
		Less Drawings	30,000
			3,18,000

Balance Sheet

Liabilities		Assets	
Capital	3,18,000	Machinery	1,20,000
Creditor	50,000	Less Depreciation	(-) 12,000
Bank Loan	40,000	Machinery	1,08,000
Outstanding salaries	5,000	Closing stock	90,000
Interest Outstanding	4,000	Debtors	60,000
		Less Bad debts	- 3,000
Total	= 4,17,000	Debtors	57,000
		Prepaid Insurance	2000
		Cash	20,000
		Total	4,17,000

M/s Riya Traders

Trow

Adjustment

1) Closing stock 90,000

2) Outstanding salary 5000

P/L		Liabilities	
salary	40,000	Outstanding salary	5,000
outstanding	5000 (2)		
	45,000		

3) Prepaid insurance 2000

P/L		asset	
Insurance	12,000	Prepaid insurance	2000
Prepaid	2,000 (3)		
	10,000		

4) Machinery depreciate by 10%

P/L	asset	
$1,20,000 \times \frac{10}{100}$	Machine cost	1,08,000
= 12,000		
⇒ 1,20,000 - 12,000		
= 1,08,000		

5) Interest on bank loan @ 10%

P/L	Liabilities
$40,000 \times \frac{10}{100}$ = 4,000	Bank loan } 44,000
Interest 40,000	
4,000	
44,000	

6) Bad debts 3,000 to be written,

P/L	Assets
bad debts 3,000	Sundry debtors 60,000
	bad debts 3,000
	57,000

2) M/s Riya

~~Adjustments~~
~~Capital~~.

1) ~~Cap~~ Closing stock - 50,000

2) Outstanding salaries - 2,000

P/L	Liabilities
Salary 15,000	Outstanding salary } 2000
Outstanding 2,000	
17,000	

3) Depreciate furniture @ 10%

P/L	Asset
Less 4,000	$40,000 \times \frac{10}{100} = 4,000$
	$40,000 - 4,000 = 36,000$

Trading A/C

Dr		Cr	
To opening stock	40,000	By sales	1,80,000
To purchases	1,00,000	By closing stock	50,000
To wages	20,000		2,30,000
	1,60,000		
To gross profit	70,000		

Profit & Loss A/C

Dr		Cr	
To salaries	17,000	By gross profit	70,000
To Loss	4,000		
	21,000		70,000
To net profit	49,000		

Balance Sheet

~~Liabilities~~

Liabilities			Assets	
Capital	70,000		Furniture	36,000
Net profit	49,000	1,04,000	Cash	15,000
Drawing	1,19,000		Debtors	30,000
	15,000		Closing Stock	50,000
	1,04,000			
Creditors		25,000		1,31,000
Outstanding expenses		2,000		
		1,31,000		